

NITI AAYOG

National Institution for Transforming India |

ESTABLISHED

1 Jan 2015

HEADQUARTERS

New Delhi

NATURE

Policy Think Tank

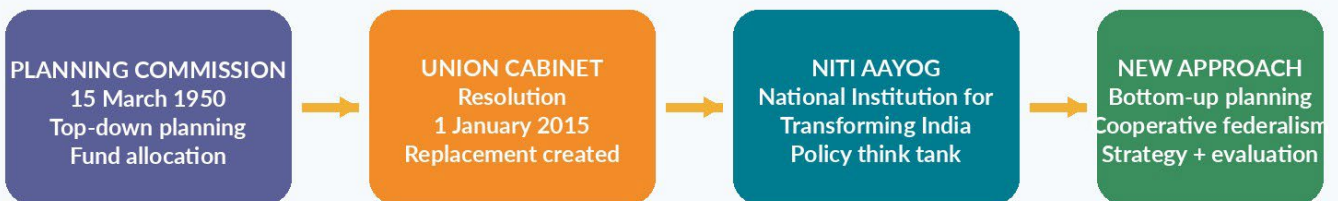
LEGAL STATUS

Non-statutory

1. MEANING AND BACKGROUND

- NITI Aayog was created by a Union Cabinet resolution on 1 January 2015, replacing the Planning Commission.
- It is neither a constitutional body nor a statutory body; it is an executive institution of the Government of India.
- Its central role is to provide strategic, directional and technical policy advice to the Union and State governments.
- Its philosophy combines bottom-up planning, cooperative federalism, innovation, evidence-based policy and outcome monitoring.

FROM CENTRAL PLANNING TO COLLABORATIVE POLICY-MAKING



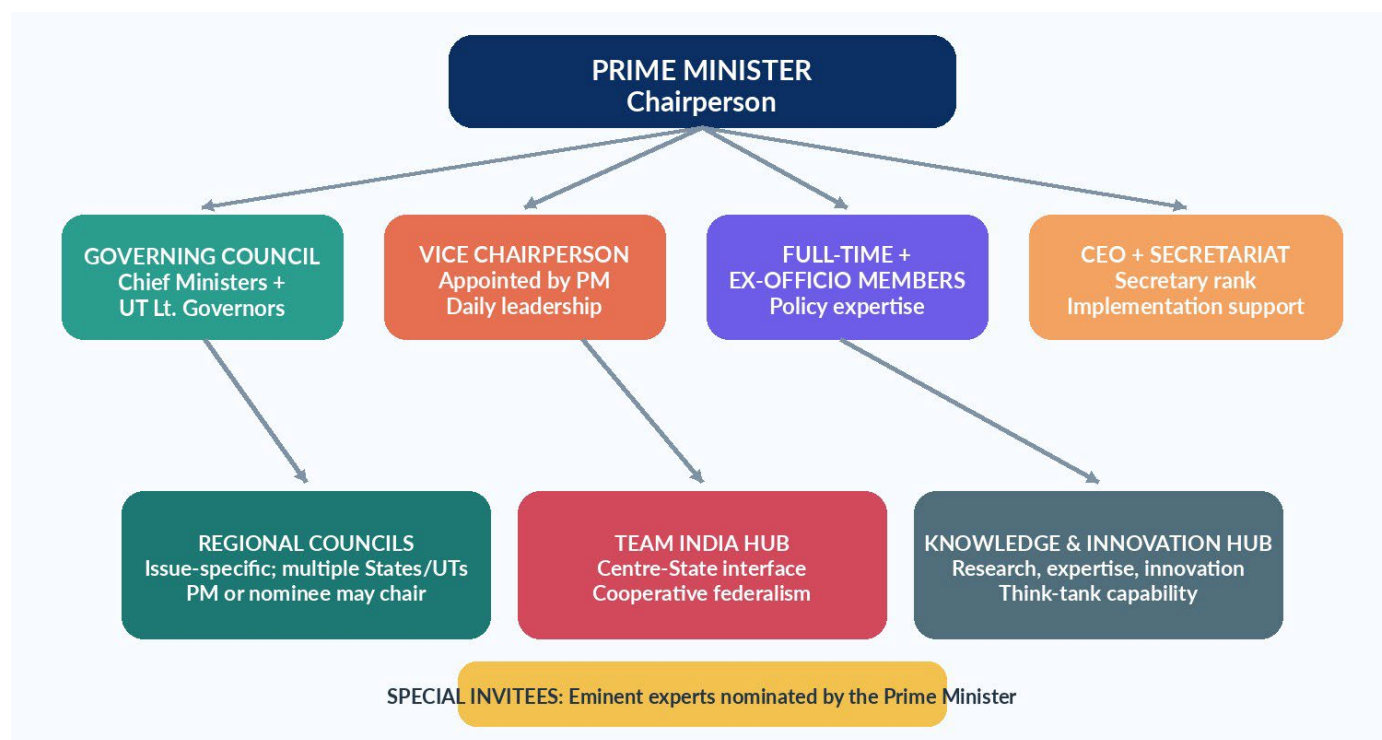
WHY WAS A NEW INSTITUTION NEEDED?

- The Planning Commission reflected a centralised, plan-and-fund allocation model suited to the early planned-economy era.
- Economic liberalisation, stronger States, diverse regional priorities and complex policy challenges required consultation rather than command.

CORE IDEA NITI Aayog is an advisory and coordinating platform - it recommends and evaluates; it does not directly allocate plan funds.

ORGANISATIONAL STRUCTURE

Leadership, councils, members and institutional hubs



2. KEY COMPONENTS

Chairperson: Prime Minister of India.	Vice Chairperson: Appointed by the Prime Minister; provides day-to-day policy leadership.
Full-time Members: Subject experts; traditionally accorded Minister of State rank.	Ex-officio Members: Union Cabinet Ministers nominated by the Prime Minister.
Chief Executive Officer: Appointed for a fixed tenure; Secretary-level rank and Member-Secretary role.	Special Invitees: Eminent specialists and domain experts nominated when required.

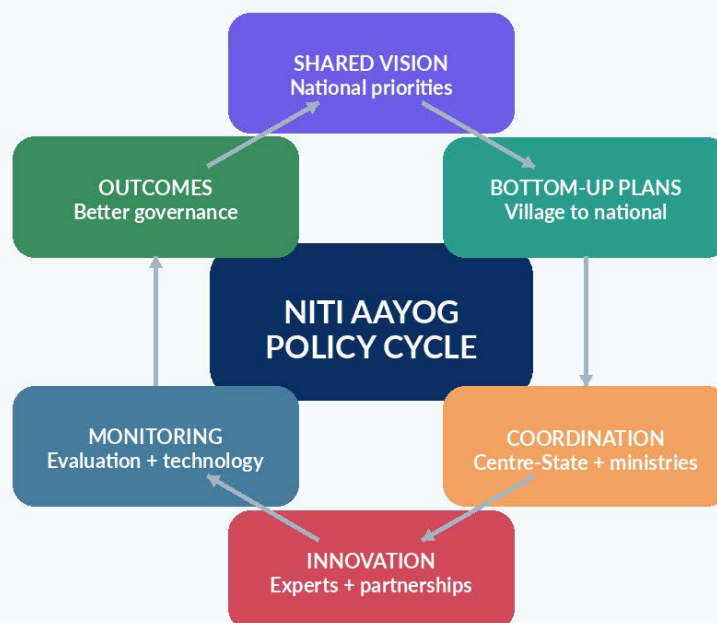
COUNCILS AND HUBS

- **Governing Council:** Prime Minister + Chief Ministers of States and Union Territories with legislatures + Lieutenant Governors of other Union Territories.
- **Regional Councils:** Temporary, issue-specific bodies for matters affecting more than one State or Union Territory in a region.
- **Team India Hub:** The principal interface for Centre-State engagement and cooperative federalism.
- **Knowledge and Innovation Hub:** Builds research, innovation, expert networks and think-tank capability.

EXAM TRAP The Governing Council is the federal platform. Regional Councils are constituted for specific regional issues; they are not permanent constitutional bodies.

OBJECTIVES AND FUNCTIONS

What NITI Aayog is expected to achieve and how it works



3. MAJOR OBJECTIVES

- Evolve a shared national vision of development priorities with active participation of States.
- Promote cooperative federalism through continuous Centre-State consultation and coordination.
- Develop credible plans from the village level upward and integrate them into national strategies.
- Provide strategic and technical advice on social, economic, technological and governance issues.
- Pay special attention to vulnerable sections that may not benefit adequately from economic progress.
- Create knowledge, innovation and entrepreneurial support systems using domestic and global expertise.

CORE FUNCTIONS - REMEMBER: V-P-C-I-M-O

Vision & strategy Prepare medium- and long-term frameworks and identify national priorities.	Planning support Assist States and local institutions in evidence-based, bottom-up planning.
Coordination Resolve inter-sectoral, inter-ministerial, inter-State and Centre-State issues.	Innovation & partnerships Connect experts, universities, think tanks, industry and international institutions.
Monitoring & evaluation Track schemes, programmes and outcomes; encourage technology and capacity building.	Outcome orientation Shift attention from financial outlay to output and measurable public outcomes.

MEMORY LINE NITI Aayog creates a Shared Agenda, acts as a State-support platform, conducts scenario planning and offers a forum for conflict resolution.

GOVERNANCE PHILOSOPHY

Guiding principles, seven pillars and federalism



4. SEVEN PILLARS OF EFFECTIVE GOVERNANCE

Pro-people: Fulfil aspirations of society and individuals.	Pro-activity: Anticipates and responds to citizens' needs.
Participation: Involves citizens in development and governance.	Empowering: Builds capabilities, especially of women.
Inclusion of all: Includes people irrespective of caste, creed or gender.	Equality: Provides equal opportunity, particularly to youth.
Transparency: Makes government visible, accountable and responsive.	

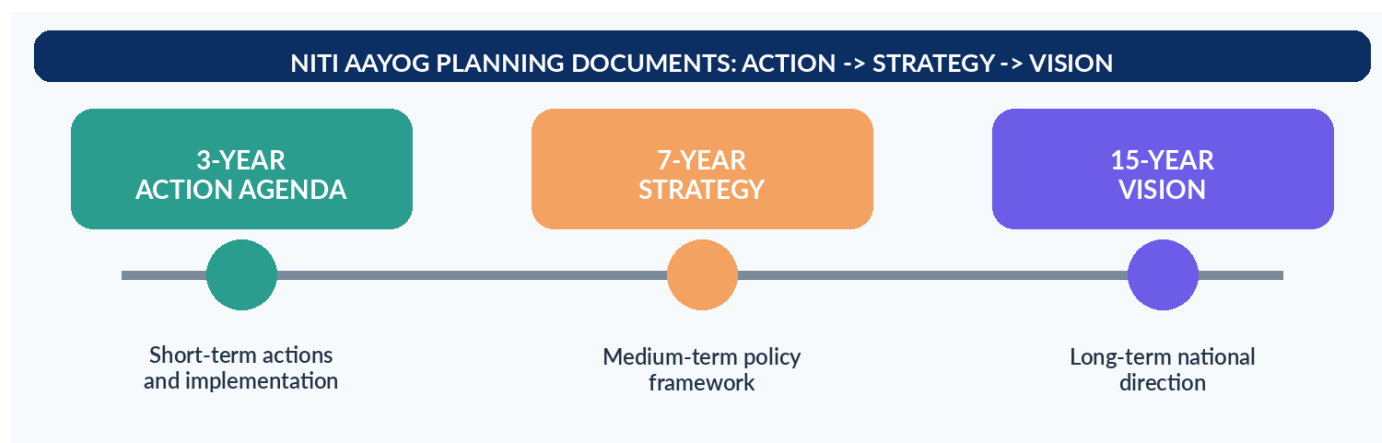
GUIDING PRINCIPLES

- **Antyodaya:** Uplift the poorest and most marginalised.
- **Inclusion:** Correct social, regional, gender and economic inequalities.
- **Village:** Integrate villages into the national development process.
- **Demographic dividend:** Harness India's human potential.
- **People's participation:** Make development citizen-driven.
- **Governance:** Promote openness, accountability and outcome focus.
- **Sustainability:** Keep environmental responsibility central to policy.

FEDERALISM Cooperative federalism means Centre and States work as partners. Competitive federalism encourages States to improve performance through benchmarking, indices and best-practice comparison.

DOCUMENTS, INITIATIVES AND INDICES

Major instruments through which NITI Aayog drives policy and performance



5. IMPORTANT PROGRAMMES AND INITIATIVES

Atal Innovation Mission Promotes innovation and entrepreneurship in schools, universities, research institutions, MSMEs and industry.	Aspirational Districts Programme Uses data, convergence and competition to accelerate improvement in underdeveloped districts.
Women Entrepreneurship Platform / WTI Awards Supports and recognises women-led enterprise and leadership.	SATH-E Supports systemic transformation of school education and development of model States.
NITI Forum for North East Addresses regional challenges and recommends interventions for sustainable growth.	Sustainable Development Goals Coordinates SDG localisation, monitoring and voluntary national review.

KEY INDICES / PERFORMANCE TOOLS

SDG INDIA INDEX Benchmarking	INDIA INNOVATION INDEX Benchmarking	SCHOOL EDUCATION QUALITY INDEX Benchmarking	COMPOSITE WATER MANAGEMENT INDEX Benchmarking
STATE HEALTH INDEX Benchmarking	DISTRICT HOSPITAL INDEX Benchmarking	STATE ENERGY INDEX Benchmarking	

ATTACHED / ASSOCIATED OFFICES

- Development Monitoring and Evaluation Office (DMEO): Supports monitoring and evaluation of government programmes.
- National Institute of Labour Economics Research and Development (NILERD): Research and capacity-building institution in labour and development economics.

DOCUMENT NOTE The classic planning architecture was expressed as a 3-year Action Agenda, 7-year Strategy and 15-year Vision. "Strategy for New India @75" provided a detailed reform roadmap across major sectors.

COMPARISON, CRITICISM AND QUICK REVISION

High-yield examination points

6. NITI AAYOG VS PLANNING COMMISSION

Basis	NITI Aayog	Planning Commission
Role	Advisory policy think tank	Plan formulation and resource-allocation body
Approach	Bottom-up and consultative	Top-down and centralised
Federal spirit	States treated as partners	States had limited influence in annual plan process
Funds	No direct power to allocate funds	Allocated plan funds to ministries and States
Policy power	Recommends; cannot impose policies	Plan approval influenced policies and funding
Expertise	Flexible membership and wider domain experts	Relatively fixed institutional structure
Focus	Strategy, innovation, coordination, outcomes	Five-Year Plans, targets and plan expenditure

LIMITATIONS / CRITICISMS

- It has advisory influence but lacks independent financial powers; implementation depends on ministries and States.
- As an executive body, its recommendations are not legally binding and its autonomy may be questioned.
- Its effectiveness depends on reliable data, robust evaluation capacity and genuine participation by States.
- Critics argue that a think tank should maintain sufficient intellectual distance to evaluate government policy objectively.
- The absence of a fund-allocation role can reduce leverage, but it also prevents excessive centralisation.